

Fujitsu (6702.T)

Raising GSe/TP slightly on improved domestic IT margins; IT services remain strong led by Japan; memory impact expected to shrink gradually; Buy on attractive valuation

6702.T

12m Price Target: ¥4,380

Price: ¥3,662

Upside: 19.6%

 **BUY**
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We update our earnings estimates in light of 1Q3/27 (Apr-Jun) results (see our [report](#) on 1Q results). We lower our FY3/27 operating profit estimate by 1%, given that the hardware solutions business was weaker than expected due to factors such as the impact of higher memory prices. On the other hand, we raise our FY3/28-FY3/29 estimates by 1%/2%, reflecting domestic IT services demand expansion and better-than-expected progress in margin improvement. Reflecting the upward revisions to our profit forecasts for FY3/28 onward, we raise our 12-month target price slightly to ¥4,380, from ¥4,330 (implies 21X FY3/28E P/E, vs. the sector average of 18X).

We expect FY3/27 operating profits to miss guidance, mainly in system products (part of hardware solutions), which is affected by higher memory prices. However, progress is being made with the pass-through of higher memory prices to product prices and thus the negative impact is likely to shrink gradually from 2Q onward. While the situation is uncertain, we expect the profit decline in hardware solutions to narrow from 2Q. We also look for service solutions (IT services) to remain strong and continue to drive companywide earnings.

While we expect high growth to continue on a full-year basis, we note that quarterly earnings may become more volatile in the short term depending on the timing of up-front investment. In 2Q, we expect profit growth momentum to decelerate (with a slight profit decline on an adjusted basis), as we expect up-front investment in CPUs and other areas to expand, on top of the dropout of real estate sale gains booked in the same period of the previous year (a negative factor in the high single-digit billions of yen). However, excluding the impact of these one-time factors, we believe the underlying trend is improving, with IT services remaining strong and the impact of higher memory prices on hardware solutions shrinking.

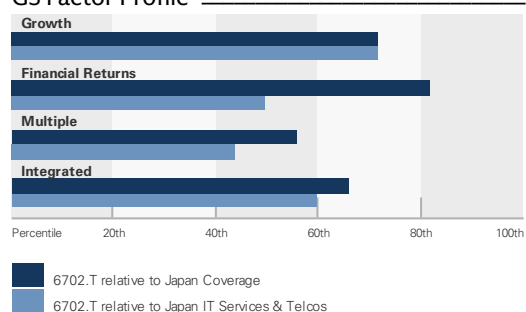
Key Data

Market cap: ¥6.2tr / \$39.1bn
Enterprise value: ¥5.9tr / \$37.1bn
3m ADTV: ¥28.8bn / \$179.6mn
Japan
Japan IT Services & Telcos
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	3,503.0	3,562.0	3,760.0	3,957.0
Op. profit (¥ bn) New	348.3	411.0	486.0	563.0
Op. profit (¥ bn) Old	348.3	415.0	483.0	552.0
Op. profit CoE (¥ bn)	—	415.0	—	—
EPS (¥) New	254.8	173.6	208.6	246.2
EPS (¥) Old	254.8	180.6	206.0	239.7
P/E (X)	14.3	21.1	17.6	14.9
P/B (X)	3.1	3.0	2.8	2.6
CROCI (%)	24.3	32.4	36.3	39.2
	6/26	9/26E	12/26E	3/27E
EPS (¥)	23.1	34.2	47.0	69.3

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Fujitsu (6702.T)

Rating since Sep 29, 2020

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	14.3	21.1	17.6	14.9
P/B (X)	3.1	3.0	2.8	2.6
FCF yield (%)	2.8	4.0	5.0	6.0
EV/EBITDAR (X)	12.5	10.0	8.6	7.4
EV/EBITDA (excl. leases) (X)	12.5	10.0	8.6	7.4
CROCI (%)	24.3	32.4	36.3	39.2
ROE (%)	16.1	14.5	16.4	17.9
Net debt/equity (%)	(15.5)	(15.6)	(17.3)	(20.2)
Net debt/equity (excl. leases) (%)	(15.5)	(15.6)	(17.3)	(20.2)
Interest cover (X)	56.8	137.0	162.0	187.7
Days inventory outst, sales	21.4	21.1	20.7	20.7
Receivable days	93.4	92.8	91.1	91.2
Days payable outstanding	63.6	63.9	63.8	64.7
DuPont ROE (%)	14.8	14.2	15.9	17.3
Turnover (X)	1.0	1.0	1.0	1.0
Leverage (X)	1.7	1.7	1.6	1.6
Gross cash invested (ex cash) (¥)	1,256.5	1,290.3	1,330.8	1,371.1
Average capital employed (¥)	1,822.1	1,753.2	1,795.6	1,836.0
BVPS (¥)	1,169.5	1,229.6	1,315.2	1,429.6

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	(1.3)	1.7	5.6	5.2
EBITDA growth	14.9	21.7	12.6	11.5
EPS growth	110.7	(31.9)	20.1	18.0
DPS growth	78.6	10.0	18.2	15.4
EBIT margin	9.9	11.5	12.9	14.2
EBITDA margin	14.0	16.7	17.8	18.9
Net income margin	8.7	8.4	9.3	10.2

Price Performance**Income Statement (¥ bn)**

	3/26	3/27E	3/28E	3/29E
Total revenue	3,503.0	3,562.0	3,760.0	3,957.0
Cost of goods sold	(2,256.1)	(2,221.0)	(2,303.0)	(2,394.0)
SG&A	(886.7)	(930.0)	(971.0)	(1,000.0)
R&D	—	—	—	—
Other operating inc./(exp.)	(11.8)	—	—	—
EBITDA	489.6	596.0	671.0	748.0
Depreciation & amortization	(141.2)	(185.0)	(185.0)	(185.0)
EBIT	348.3	411.0	486.0	563.0
Net interest inc./(exp.)	2.6	4.0	4.5	4.5
Income/(loss) from associates	—	—	—	—
Pre-tax profit	409.0	431.0	506.0	583.0
Provision for taxes	(100.7)	(129.3)	(151.8)	(174.9)
Minority interest	(5.2)	(4.0)	(5.0)	(6.0)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	303.1	297.7	349.2	402.1
Post-tax exceptionals	146.3	—	—	—
Net inc. (post-exceptionals)	449.4	297.7	349.2	402.1
EPS (basic, pre-exception) (¥)	171.9	173.6	208.6	246.2
EPS (diluted, pre-exception) (¥)	174.2	171.1	200.7	231.1
EPS (basic, post-exception) (¥)	254.8	173.6	208.6	246.2
EPS (diluted, post-exception) (¥)	258.3	171.1	200.7	231.1
DPS (¥)	50.0	55.0	65.0	75.0
Div. payout ratio (%)	29.1	31.7	31.2	30.5

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	450.4	461.0	512.2	603.0
Accounts receivable	898.0	913.1	963.9	1,014.4
Inventory	204.1	207.5	219.0	230.5
Other current assets	390.4	400.0	410.0	420.0
Total current assets	1,942.8	1,981.6	2,105.1	2,267.9
Net PP&E	360.9	360.9	360.9	360.9
Net intangibles	386.3	405.7	405.7	405.7
Total investments	84.6	85.0	85.0	85.0
Other long-term assets	642.0	650.0	660.0	670.0
Total assets	3,416.6	3,483.2	3,616.7	3,789.5
Accounts payable	385.4	391.9	413.7	435.4
Short-term debt	42.8	43.0	43.0	43.0
Short-term lease liabilities	—	—	—	—
Other current liabilities	682.2	690.0	700.0	710.0
Total current liabilities	1,110.5	1,124.9	1,156.7	1,188.4
Long-term debt	90.3	90.0	90.0	90.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	167.4	165.0	175.0	185.0
Total long-term liabilities	257.7	255.0	265.0	275.0
Total liabilities	1,368.2	1,379.9	1,421.7	1,463.4
Preferred shares	—	—	—	—
Total common equity	2,028.8	2,083.3	2,175.0	2,306.1
Minority interest	19.7	20.0	20.0	20.0
Total liabilities & equity	3,416.6	3,483.2	3,616.7	3,789.5
Net debt, adjusted	(317.3)	(328.0)	(379.2)	(470.0)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	555.9	431.0	506.0	583.0
D&A add-back	141.2	185.0	185.0	185.0
Minority interest add-back	5.2	4.0	5.0	6.0
Net (inc)/dec working capital	2.1	(12.1)	(40.5)	(40.3)
Other operating cash flow	(366.4)	(204.0)	(216.8)	(241.9)
Cash flow from operations	338.1	403.9	438.7	491.8
Capital expenditures	(109.0)	(150.0)	(130.0)	(130.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	253.5	—	—	—
Cash flow from investing	144.5	(150.0)	(130.0)	(130.0)
Repayment of lease liabilities	(46.6)	—	—	—
Dividends paid (common & pref)	(51.5)	(93.2)	(107.5)	(121.0)
Inc/(dec) in debt	(111.2)	(0.1)	—	—
Other financing cash flows	(170.5)	(150.0)	(150.0)	(150.0)
Cash flow from financing	(379.7)	(243.3)	(257.5)	(271.0)
Total cash flow	102.9	10.6	51.2	90.8
Free cash flow	182.6	253.9	308.7	361.8

Source: Company data, Goldman Sachs Research estimates.

The next point of focus is the IR Day scheduled for September 16. **At the IR Day, we will be watching for the earnings contribution and timing of AI servers equipped with in-house CPUs and systems for physical AI.** Although the drag of up-front investment in advanced technology domains (such as CPUs/quantum computers) will increase in the short term, we maintain our view that high profit growth exceeding the sector average will continue, and the P/E-based valuation looks attractive. We maintain our Buy rating.

Earnings outlook

We forecast FY3/27 operating profits/adjusted operating profits (OP + one-time costs, including for restructuring) of ¥411 bn (+18% yoy)/¥421 bn (+8% yoy), slightly below guidance (¥415 bn/¥425 bn). Compared to guidance, we expect service solutions to miss by ¥3 bn, as we view the domestic sales outlook as somewhat bullish, and hardware solutions to miss by ¥1 bn (with system products missing by ¥5 bn due to the impact of higher memory prices, and networks beating by ¥4 bn on strong mobile demand).

On a yoy basis (OP: +¥62.7 bn yoy), we expect service solutions (+18%/+¥65.5 bn yoy) to drive profit growth on increasing demand, mainly in Japan, and improving margins. We forecast double-digit (%) profit growth for the third consecutive year on a companywide basis (Exhibit 1). On the other hand, we expect profit declines in hardware solutions (-9%/-¥6 bn yoy) due to the impact of higher memory prices, ubiquitous solutions (-28%/-¥10.8 bn yoy) as PC replacement demand runs its course, and intersegment eliminations/corporate (-¥18.3 bn yoy) as up-front investment in areas such as CPUs and quantum computers expands (Exhibit 2). For adjustments (the difference between operating profits and adjusted operating profits), we assume a +¥32.3 bn yoy improvement, as restructuring costs of c.¥38.6 bn for the European hardware business and Fujitsu Frontech drop out.

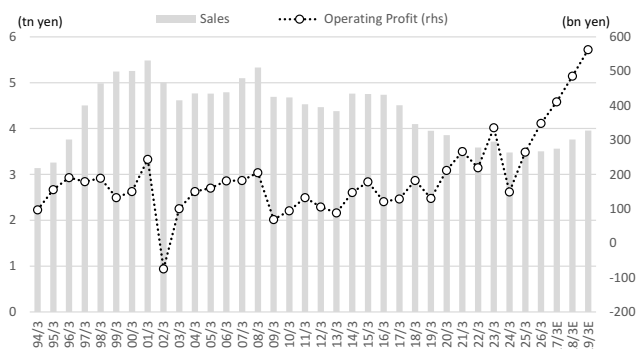
Key points for each business (adjusted operating profits) are as follows:

- **Service solutions (IT services) (+18%/+¥65.5 bn yoy):** We expect this segment to continue to drive companywide earnings, given strong demand mainly in Japan and improving margins backed by AI-driven development and development standardization. By region, we forecast +21%/+¥67.6 bn yoy for the domestic business, while we expect a decline of -6%/-¥2.1 bn yoy for the overseas business due to factors such as the dropout of high-margin public sector projects in Europe. By industry, the domestic order environment remains favorable, centered on manufacturing, government agencies, healthcare, and defense, with an ample order backlog. We expect continued expansion of modernization demand in Japan. Regarding margins, AI-driven development is progressing steadily (AI is currently utilized in about 70% of projects), and we expect the operating margin to improve by +1.8 pp yoy (+2.2 pp yoy in Japan). The penetration rate of AI-driven development in individual projects is gradually rising, and its productivity improvement effects are likely to increase further from 2H. Note that while there is currently no movement toward in-house production or pressure to lower prices from customers (an industry-wide trend), Fujitsu is steadily implementing measures to address the medium-term risk of AI disruption, such as gradually shifting from a man-month pricing business to an added value-based pricing model.

- **Hardware solutions (-9%/-¥6 bn yoy):** We expect system products (servers/mainframes, etc.) to see a double-digit (%) profit decline (-15%/-¥10 bn yoy) due to the business withdrawal of Fujitsu Frontech and the impact of higher memory prices. Although the impact will be felt throughout the full year, progress is being made with pass-through of higher memory prices to product prices, and thus the negative impact from 2Q onward is likely to shrink compared to 1Q (¥2-3 bn). On the other hand, we expect mobile products (base stations/optical transmission equipment, etc.) to swing to a profit (+¥4 bn yoy improvement) on the back of expanded base station demand to improve network quality (mainly in Japan) and market expansion for optical transmission equipment accompanying increased communication traffic due to AI and other factors (North America + Japan). Although optical transmission equipment got off to a slow start in 1Q, this was a supply timing issue for Fujitsu, and we look for a recovery from 2Q.
- **Ubiquitous solutions (-28%/-¥10.8 bn yoy):** We expect a substantial profit decline as FY3/27 enters a transitional period for PC demand with replacement demand ahead of the end of Windows 10 support (October 2025) having run its course. The extent of the profit decline is broadly in line with guidance, but we note that on a quarterly basis, 2Q faces the highest yoy hurdle.
- **Intersegment eliminations/corporate (-¥18.3 bn yoy):** Gains on real estate sales associated with the redevelopment of the Kawasaki area (estimated at ¥12-13 bn, factored into guidance) were generated in 1Q3/27, but the cost drag is expected to increase as up-front investment in advanced technology domains (such as CPUs/quantum computers) expands from FY3/27. On a quarterly basis, we note that 2Q3/27 will see the dropout of gains on real estate sales (in the high single-digit billions of yen) generated in the same period of the previous year.
- **Adjustments (the difference between operating profits and adjusted OP; +¥32.3 bn yoy improvement):** We expect the dropout of restructuring costs of c.¥38.6 bn for the European hardware business, Fujitsu Frontech, and the Asia IT services business (mainly ¥15 bn in 2Q and ¥22.1 bn in 4Q). Although amortization of intangible fixed assets associated with BrainPad becoming a wholly owned subsidiary will increase from FY3/27, the dropout of restructuring costs will have a large impact, and we therefore expect adjustments as a whole to improve yoy.

Exhibit 1: Headwinds persist for hardware/ubiquitous solutions, but record profits to likely continue centered on IT services

Companywide earnings

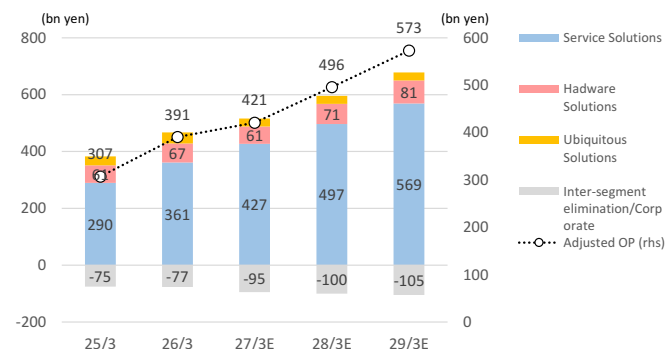


Earnings from FY3/24 onward exclude the devices business (discontinued operation)

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Services remain strong; hardware/ubiquitous solutions profits to decline in FY3/27 on lower demand/higher costs; intersegment eliminations/corporate to see expanded up-front investment

Adjusted operating profit estimates by segment



Figures for each business are adjusted operating profits (OP + one-time costs, including for restructuring)

Source: Company data, Goldman Sachs Global Investment Research

Quarterly earnings outlook

On a quarterly basis, we forecast **2Q (Jul-Sep) operating profits/adjusted operating profits of ¥82 bn (+14%/+¥10.1 bn yoy)/¥84.5 bn (-2%/-¥1.7 bn yoy)**. We expect a substantial profit increase on an operating profit basis, because restructuring costs for the European hardware business (c.¥15 bn) booked under adjustments will drop out. However, we forecast a slight profit decline on an adjusted operating profit basis excluding this impact. While we see no major change in the business environment (if anything, we assume the impact of higher memory prices will shrink compared to 1Q), we assume that the negative impact of intersegment eliminations/corporate will expand due to increased up-front investment in advanced technology domains (such as CPUs/quantum computers) and the dropout of real estate sale gains (in the high single-digit billions of yen) from the same period of the previous year.

By business (adjusted operating profits), we expect service solutions to grow +21%/+¥15.2 bn yoy, led by Japan; hardware solutions to decline -11%/-¥1.2 bn yoy, mainly in system products; ubiquitous solutions to decline -30%/-¥4 bn yoy on lower PC demand; intersegment/eliminations to worsen by -¥11.7 bn yoy due to the aforementioned factors (expanded up-front investment + dropout of real estate sale gains); and adjustments (the difference between operating profits and adjusted operating profits) to be +¥11.8 bn yoy. **We believe service solutions will remain strong, and as cost pass-through to product prices progresses for higher memory prices, the operating profit decline (yoy) for hardware solutions should shrink compared to 1Q, and the underlying business environment will improve.**

Exhibit 3: We expect FY3/27 operating profits to miss guidance mainly in service solutions/hardware solutions, but we look for high yoy growth to continue centered on service solutions

Earnings by business

(in million yen) 6702 Fujitsu	25/3	26/3	GSE 27/3	GSE 28/3	GSE 29/3	CoE 27/3	26/3 Q1	Q2	Q3	Q4	27/3 Q1	GSE Q2E
<P/L>												
Sales	3,550,116	3,502,971	3,562,000	3,760,000	3,957,000	3,510,000	749,859	816,683	884,642	1,051,787	779,377	836,000
y-y	2.1%	-1.3%	1.7%	5.6%	5.2%	0.2%	-1.2%	3.0%	3.4%	-7.9%	3.9%	2.4%
Operating profits	265,089	348,329	411,000	486,000	563,000	415,000	33,486	71,859	105,656	137,328	52,534	82,000
y-y	77.5%	31.4%	18.0%	18.2%	15.8%	19.1%	2.3x	2.5x	68.1%	-13.7%	56.9%	14.1%
% of sales	7.5%	9.9%	11.5%	12.9%	14.2%	11.8%	4.5%	8.8%	11.9%	13.1%	6.7%	9.8%
Adjusted items (restructuring costs etc)	-42,176	-42,260	-10,000	-10,000	-10,000	-10,000	-1,633	-14,349	-2,180	-24,098	-2,377	-2,500
Adjusted Operating profits	307,265	390,589	421,000	496,000	573,000	425,000	35,119	86,208	107,836	161,426	54,911	84,500
y-y	15.8%	27.1%	7.8%	17.8%	15.5%	8.8%	2.1x	74.1%	51.8%	-5.1%	56.4%	-2.0%
% of sales	8.7%	11.2%	11.8%	13.2%	14.5%	12.1%	4.7%	10.6%	12.2%	15.3%	7.0%	10.1%
Sales and earnings by segment												
I Service Solution												
Sales	2,245,996	2,346,932	2,480,000	2,640,000	2,800,000	2,470,000	514,617	551,889	591,221	689,205	548,971	587,000
y-y	5.1%	4.5%	5.7%	6.5%	6.1%	5.2%	2.6%	7.0%	8.4%	0.9%	6.7%	6.4%
% of sales	63.3%	67.0%	69.6%	70.2%	70.8%	70.4%	68.6%	67.6%	66.8%	65.5%	70.4%	70.2%
(1) Enterprise	829,000	866,300	930,000	991,000	1,053,000	940,000	197,600	212,500	216,400	239,700	213,000	230,000
y-y	-	4.5%	7.4%	6.6%	6.3%	8.5%	-	-	-	-	7.8%	8.2%
(2) Public	1,416,900	1,480,600	1,550,000	1,649,000	1,747,000	1,530,000	317,000	339,300	374,800	449,400	335,900	357,000
y-y	-	40.6%	16.6%	16.1%	16.1%	21.5%	-	-	-	-	12.2%	17.6%
Adjusted Operating profits	289,967	361,464	427,000	497,000	569,000	430,000	47,842	71,780	96,478	145,364	62,801	87,000
y-y	22.2%	24.7%	18.1%	16.4%	14.5%	19.0%	36.8%	33.5%	32.5%	13.2%	31.3%	21.2%
% of sales	12.9%	15.4%	17.2%	18.8%	20.3%	17.4%	9.3%	13.0%	16.3%	21.1%	11.4%	14.8%
(1) Enterprise	72,000	101,200	118,000	137,000	159,000	123,000	17,200	23,800	29,200	30,800	19,300	28,000
y-y	-	40.6%	16.6%	16.1%	16.1%	21.5%	-	-	-	-	12.2%	17.6%
% of sales	8.7%	11.7%	12.7%	13.8%	15.1%	13.1%	8.7%	11.2%	13.5%	12.8%	9.1%	12.2%
(2) Public	217,900	260,100	309,000	360,000	410,000	307,000	30,500	47,900	67,100	114,500	43,400	59,000
y-y	-	19.4%	18.8%	16.5%	13.9%	18.0%	-	-	-	-	42.3%	23.2%
% of sales	15.4%	17.6%	19.9%	21.8%	23.5%	20.1%	9.6%	14.1%	17.9%	25.5%	12.9%	16.5%
II Hardware Solution												
Sales	1,119,938	1,009,857	997,000	1,035,000	1,072,000	960,000	202,115	222,698	248,124	336,920	211,204	228,000
y-y	1.1%	-9.8%	-1.3%	3.8%	3.6%	-4.9%	-11.6%	-2.4%	-3.2%	-17.2%	4.5%	2.4%
% of sales	31.5%	28.8%	28.0%	27.5%	27.1%	27.4%	27.0%	27.3%	28.0%	32.0%	27.1%	27.3%
(1) System Products	938,300	816,200	780,000	810,000	840,000	750,000	167,100	179,400	195,900	273,800	175,000	180,000
y-y	1.4%	-13.0%	-4.4%	3.8%	3.7%	-8.1%	-14.2%	-4.8%	-6.7%	-20.7%	4.7%	0.3%
(2) Network Products	181,600	193,600	217,000	225,000	232,000	210,000	34,900	43,200	52,200	63,300	36,100	48,000
y-y	-0.8%	6.6%	12.1%	3.7%	3.1%	8.5%	3.9%	9.1%	13.2%	1.6%	3.4%	11.1%
Adjusted Operating profits	61,300	67,012	61,000	71,000	81,000	62,000	1,337	11,188	24,559	29,928	-3,743	10,000
y-y	-26.8%	9.3%	-9.0%	16.4%	14.1%	-7.5%	N.M.	64.4%	122.0%	-36.5%	N.M.	-10.6%
% of sales	5.5%	6.6%	6.1%	6.9%	7.6%	6.5%	0.7%	5.0%	9.9%	8.9%	-1.8%	4.4%
III Ubiquitous Solution												
Sales	251,746	229,805	175,000	175,000	175,000	160,000	47,987	65,202	64,733	51,883	34,495	46,000
y-y	-7.9%	-8.7%	-23.8%	0.0%	0.0%	-30.4%	-1.6%	8.8%	-11.0%	-26.2%	-28.1%	-29.5%
% of sales	7.1%	6.6%	4.9%	4.7%	4.4%	4.6%	6.4%	8.0%	7.3%	4.9%	4.4%	5.5%
Adjusted Operating profits	31,372	38,825	28,000	28,000	28,000	28,000	8,241	13,503	9,737	7,344	4,466	9,500
y-y	29.6%	23.8%	-27.9%	0.0%	0.0%	-27.9%	84.3%	95.7%	8.3%	-33.3%	-45.8%	-29.6%
% of sales	12.5%	16.9%	16.0%	16.0%	16.0%	17.5%	17.2%	20.7%	15.0%	14.2%	12.9%	20.7%
Inter-segment elimination/Corporate												
Sales	-67,564	-83,623	-90,000	-90,000	-90,000	-80,000	-14,860	-23,106	-19,436	-26,221	-15,293	-25,000
Adjusted Operating profits	-75,374	-76,712	-95,000	-100,000	-105,000	-95,000	-22,301	-10,263	-22,938	-21,210	-8,613	-22,000

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis, Price Target Risks and Methodology - Fujitsu

Investment Thesis - Fujitsu

Fujitsu (Buy) is the leading systems integrator in Japan and engages in a wide range of fields including IT services, communications systems, and electronic components. It is stepping up the concentration of resources on key businesses as well as pursuing structural reforms centered on non-core ubiquitous solutions and device solutions and plans to sell non-core businesses over the medium term. Fujitsu's strengths are its technological prowess and know-how in large system development/integration, system products, and base stations. We forecast considerable improvement in profitability as the company optimizes human resources, utilizes offshore resources, sells off non-core businesses, sees operating leverage kick in as demand grows in the UVANCE unit (solutions business), and makes wider use of generative AI in system development. We expect profit growth to outstrip the sector average in the medium term. We see scope for P/E to increase and think valuations look compelling.

Price Target Risks and Methodology - Fujitsu

Our 12-month target price of ¥4,380 is based on our FY3/28 EPS estimate of ¥209 and a target P/E of 21X. Our target P/E is derived from (1) a P/E of c.21-22X for the IT services business (20% premium to the sector-average P/E of 18.0X), and (2) a P/E of 21.0X for the hardware business (average for the hardware sector). We then take a weighted average of these two multiples, based on the company's profit weightings, with an 80% weighting for IT services and a 20% weighting for hardware. The reasons we apply a premium to the sector average P/E are (1) a medium-term profit growth rate that significantly exceeds the sector average, (2) an aggressive shareholder return policy, (3) the company's favorable positioning to benefit from generative AI, including in generative AI-powered system development and AI solutions, and (4) growth stories not seen at other SIs, such as the company's defense business. Key risks include deterioration in IT services/hardware demand due to worsening business sentiment, higher-than-expected component cost increases, delays in price pass-through, opportunity losses due to procurement delays, and the emergence of unprofitable projects.

Disclosure Appendix

Reg AC

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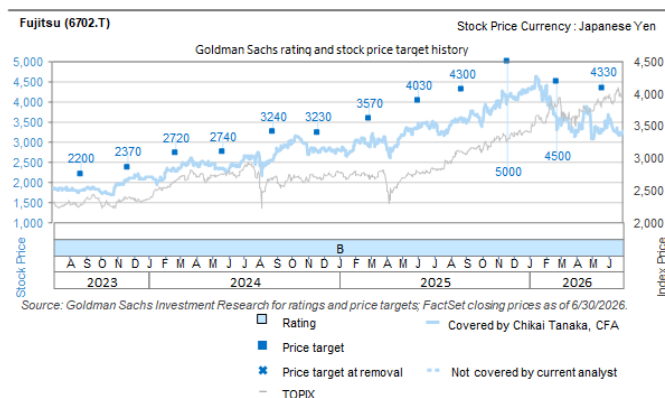
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Target price history table(s)

Fujitsu (6702.T)

Date of report Target price (¥) Closing price (¥)

21-Aug-26	4,380	3,662
22-May-26	4,330	3,307
24-Feb-26	4,500	3,313
21-Nov-25	5,000	4,129
25-Aug-25	4,300	3,571
02-Jun-25	4,030	3,461
28-Feb-25	3,570	2,879
22-Nov-24	3,230	2,757
28-Aug-24	3,240	2,590
22-May-24	2,740	2,322
22-Feb-24	27,200	2,271
22-Nov-23	23,700	2,058
24-Aug-23	22,000	1,799

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